

HAURVA PROTOCOL

HAUSD

A Crypto-Native, Oracle-Priced USD-Denominated Stablecoin

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Abstract

Haurva Protocol is a crypto-native stablecoin protocol designed to provide a USD-denominated digital asset without requiring an equivalent reserve of U.S. dollars held in bank accounts, financial institutions, or traditional custodial vaults.

The first implementation of Haurva operates on BNB Smart Chain and uses BNB as its native collateral asset. HAUSD, the protocol's USD-denominated token, is minted against BNB according to the prevailing BNB/USD price supplied by Chainlink. Users interact directly with smart contracts: BNB enters the protocol as collateral, its USD value is calculated on-chain using the oracle, and the corresponding amount of HAUSD is created. HAUSD may subsequently be redeemed for its oracle-determined BNB equivalent, subject to the protocol's available reserve.

Haurva's central proposition is simple: **USD-denominated value does not necessarily require USD-denominated reserves.** Instead of reproducing the traditional model of depositing one dollar with a centralized issuer and receiving one token in return, Haurva uses an existing crypto-native asset with observable market value as the foundation of its monetary system.

The protocol is designed around transparency, programmable execution, permissionless user interaction, and reduced dependence on traditional financial intermediaries. At the same time, Haurva does not claim that HAUSD will trade at exactly \$1 on secondary markets, nor does the current design provide continuous overcollateralization against a decline in the USD value of BNB. These limitations are fundamental to understanding the protocol.

1. Introduction

Stablecoins have become one of the most important applications of blockchain technology. They provide users with a digital unit of account that attempts to preserve the familiarity of fiat currency while benefiting from blockchain-based settlement.

Most major stablecoins, however, rely on a traditional monetary architecture. A centralized issuer or financial institution holds reserves—typically cash, bank deposits, government securities, or other off-chain assets—and issues tokens representing those reserves.

Haurva takes a different approach.

The protocol asks a simple question:

Does a blockchain-based representation of dollar value necessarily require dollars to be held somewhere off-chain?

Haurva's answer is no.

The protocol instead uses a crypto-native collateral asset whose market value can be observed through an on-chain oracle. In the first implementation, that asset is BNB. Chainlink provides the BNB/USD reference price required to calculate how much BNB corresponds to a given amount of USD-denominated value.

This architecture moves the fundamental reserve relationship from traditional financial infrastructure toward programmable blockchain infrastructure.

Haurva therefore does not attempt to create a digital bank account containing U.S. dollars. It attempts to create a protocol through which users can access a **USD-denominated unit of value backed by an on-chain crypto asset.**

2. The Haurva Thesis

The fundamental idea behind Haurva can be summarized as follows:

The economic value associated with a dollar can be represented without holding the underlying dollar as the reserve asset.

A native blockchain asset already has an observable market value. If an oracle reports that one BNB is worth \$700, then approximately 0.00142857 BNB represents one dollar of value.

Haurva uses this relationship to create HAUSD.

Rather than:

\$1 deposited → 1 token issued

the protocol operates on the principle of:

\$1 worth of BNB deposited → approximately 1 HAUSD issued

subject to the applicable protocol fee.

This distinction is the foundation of Haurva.

The protocol does not attempt to eliminate the concept of the U.S. dollar as a unit of account. Instead, it separates the **unit of account** from the **reserve asset**.

The dollar remains the reference denomination.

BNB becomes the collateral.

The oracle provides the conversion relationship.

The smart contract enforces the process.

3. Design Philosophy

Haurva is built around several core principles.

3.1 On-Chain Collateral

The protocol's reserve asset is BNB held by the smart contract rather than U.S. dollars held in a bank.

This makes the core collateral position observable on-chain and allows users, applications, and analysts to independently inspect the protocol's reserves and token supply.

3.2 Permissionless Interaction

Ordinary minting and redemption operations are performed through smart contracts rather than through an issuer-operated account system.

Users do not need to request that an institution manually approve a mint or redemption under normal protocol conditions.

3.3 Programmable Monetary Rules

The relationship between BNB, oracle price, and HAUSD supply is determined by code.

The protocol does not depend on an employee manually calculating how many tokens should be issued for a deposit.

3.4 Reduced Dependence on Traditional Intermediaries

Haurva is intentionally designed to minimize dependence on banks and conventional custodial reserve structures.

The protocol's philosophy is influenced by the broader crypto principle that financial infrastructure can increasingly operate

through open networks and transparent software rather than through institutions controlling every transaction.

3.5 Security Over Convenience

The monetary mechanism is valuable only to the extent that users can trust the correctness of its execution.

For this reason, oracle validation, reserve checks, token accounting, and transaction ordering are fundamental components of the design.

4. HAUSD

HAUSD is the native USD-denominated token of Haurva Protocol.

HAUSD uses six decimal places, allowing fractional dollar-denominated values to be represented with greater precision.

The intended interpretation of:

1 HAUSD

is:

approximately one U.S. dollar of protocol-defined value.

This does not mean that HAUSD is a U.S. dollar, legal tender, or a bank deposit.

Nor does it mean that HAUSD is guaranteed to trade at exactly \$1 on every decentralized exchange.

HAUSD is instead a blockchain-native token whose minting and redemption calculations reference the U.S. dollar through the BNB/USD oracle.

HAUSD is not designed as an investment token whose value should appreciate indefinitely. Its purpose is to function as a **USD-denominated medium of exchange, settlement asset, and unit of account within blockchain-based financial environments.**

5. BNB as Collateral

The first Haurva implementation uses BNB as its collateral asset.

BNB was selected as the initial collateral asset for practical and architectural reasons.

BNB Smart Chain provides an established EVM-compatible environment, comparatively low transaction costs, and access to a large ecosystem of decentralized applications and liquidity.

More importantly, BNB has an independent market value of its own. Haurva therefore does not attempt to manufacture value solely through the HAUSD system.

The protocol uses an asset that already participates in an external market and references that market through an oracle.

When BNB enters the protocol, it becomes part of the on-chain reserve associated with HAUSD issuance.

6. Oracle Pricing

Haurva relies on Chainlink's BNB/USD price feed to determine the USD value of BNB.

The smart contract is designed to select the appropriate oracle infrastructure based on the supported BNB Smart Chain deployment.

The initial implementation supports BNB Smart Chain Mainnet and BNB Smart Chain Testnet and rejects unsupported deployment environments.

The oracle serves one fundamental purpose:

It tells the protocol how much a quantity of BNB is worth in U.S. dollar terms.

Haurva does not independently determine the market price of BNB.

The protocol therefore separates:

Market price discovery

from

Protocol accounting.

Market participants determine the economic price of BNB through external markets. The oracle makes an on-chain representation of that price available to the smart contract.

7. Oracle Validation

An oracle is an external dependency of the protocol and therefore must not be treated as infallible.

The Haurva implementation incorporates validation checks intended to prevent obviously invalid oracle information from being used in minting or redemption calculations.

The contract validates conditions including:

- the reported BNB/USD price must be greater than zero;
- the oracle round must contain valid information;
- required timestamps must be present;
- the price must not be older than the configured maximum age;
- the oracle must report the expected decimal precision.

The current implementation uses a maximum permitted oracle age of approximately one day.

These checks do not guarantee that an oracle will always report a perfect market price. Their purpose is narrower: to prevent the protocol from blindly using data that is clearly invalid, incomplete, or excessively stale.

8. HAUSD Minting

HAUSD is minted by depositing BNB into the Haurva contract.

Users do not need to manually calculate the desired HAUSD amount before calling the mint function. The contract determines the output according to the BNB amount received and the current oracle price.

The conceptual process is:

Step 1 – BNB Deposit

A user sends BNB to the `mint()` function.

Step 2 – Protocol Fee

A 0.05% minting fee is applied.

If the deposited amount is represented by:

B

then the amount remaining as collateral is approximately:

$B \times 0.9995$

Step 3 – Oracle Conversion

The protocol obtains the current BNB/USD price from Chainlink.

If BNB is priced at:

\$700

then:

$1 \text{ BNB} \approx \$700$

and approximately:

$0.00142857 \text{ BNB} \approx \1

Step 4 – HAUSD Creation

The remaining collateral is converted into the corresponding USD-denominated amount of HAUSD.

In simplified form:

HAUSD Minted $\approx$ Net BNB $\times$ BNB/USD Price

with appropriate decimal normalization between BNB, the Chainlink feed, and the six-decimal HAUSD token.

The resulting HAUSD is minted directly to the user.

9. Example of Minting

Assume:

BNB price = \$700

and a user deposits:

1 BNB

The 0.05% minting fee removes:

0.0005 BNB

leaving:

0.9995 BNB

as protocol collateral.

At a BNB/USD price of \$700:

$0.9995 \text{ BNB} \times \$700 = \$699.65$

The user therefore receives approximately:

699.65 HAUSD

subject to the precise integer and decimal calculations enforced by the smart contract.

The BNB retained by the protocol becomes part of the reserve supporting the outstanding HAUSD.

10. HAUSD Redemption

HAUSD can be returned to the protocol through the redemption process.

When a user initiates a redemption, the protocol determines how much BNB corresponds to the requested HAUSD amount using the current BNB/USD oracle price.

The process is conceptually:

HAUSD $\rightarrow$ current USD value $\rightarrow$ corresponding BNB amount

For example, if:

BNB = \$700

then:

1 HAUSD $\approx$ 0.00142857 BNB

If the BNB price later falls to:

\$350

then:

1 HAUSD $\approx$ 0.00285714 BNB

The user therefore receives a different quantity of BNB depending on the current market price.

This is a central characteristic of Haurva.

11. Redemption Accounting

The redemption transaction follows an important state-change sequence.

The protocol determines the BNB amount associated with the requested HAUSD, verifies that sufficient BNB is available in the reserve, burns the user's HAUSD, and then performs the BNB transfer.

Burning the HAUSD before the external transfer is an important accounting protection.

It prevents the protocol from completing the asset transfer while leaving the corresponding HAUSD supply outstanding.

The contract therefore attempts to maintain a direct relationship between outstanding HAUSD and the reserve assets available to the protocol.

The current reference design does not rely on a conventional bank-operated redemption desk. Redemption is performed by smart-contract logic subject to oracle availability and sufficient reserve liquidity.

12. Dynamic Supply

HAUSD has no predefined fixed maximum supply.

Supply instead expands and contracts according to protocol activity.

When eligible BNB enters the protocol and is used to mint HAUSD:

HAUSD Supply ↑

When HAUSD is redeemed and burned:

HAUSD Supply ↓

This creates a dynamic monetary supply rather than a fixed token allocation.

The theoretical maximum supply is therefore determined by the amount of BNB users are willing to place into the protocol and the oracle valuation associated with that BNB.

The protocol does not require a governance vote for each individual issuance.

Minting and redemption are consequences of users interacting with the defined monetary mechanism.

13. Protocol Value vs. Secondary-Market Price

One of the most important concepts in the Haurva architecture is the distinction between **protocol pricing** and **secondary-market pricing**.

The smart contract can calculate a protocol conversion value.

For example:

1 HAUSD → approximately \$1 worth of BNB

according to the current oracle price.

That does not mathematically force:

1 HAUSD = \$1

on every decentralized exchange.

Secondary-market pricing is affected by:

- supply and demand;
- available liquidity;
- market-maker behavior;
- arbitrage activity;
- trading fees;
- market confidence;
- blockchain conditions;
- broader cryptocurrency market conditions.

Consequently, HAUSD may trade above or below its protocol reference value.

Haurva should therefore be understood as providing an **oracle-priced minting and redemption mechanism**, not as providing an absolute guarantee of a constant secondary-market exchange price.

This distinction is essential.

14. The Stability Mechanism

Haurva's relationship with the dollar is established through an external reference price rather than through direct possession of U.S. dollars.

At any given moment, the protocol determines the amount of BNB corresponding to one USD according to the oracle.

Conceptually:

USD Value of BNB ÷ HAUSD denomination = HAUSD issuance capacity

When BNB appreciates:

- fewer BNB are required to represent one dollar;
- the BNB amount associated with one HAUSD decreases.

When BNB depreciates:

- more BNB are required to represent one dollar;
- the BNB amount associated with one HAUSD increases.

Therefore, the quantity of BNB associated with HAUSD is variable.

The USD denomination is the reference unit.

BNB is the changing collateral quantity.

15. Why Haurva Is Different From Fiat-Backed Stablecoins

Traditional fiat-backed stablecoins depend on reserves outside the blockchain.

A simplified model is:

Issuer receives \$1 → issuer holds \$1 → issuer issues 1 token

The token therefore depends on:

- the issuer;
- banking relationships;
- custody arrangements;
- reserve management;
- legal and institutional infrastructure.

Haurva instead follows:

Protocol receives BNB → oracle determines USD value → protocol issues HAUSD

The principal reserve asset exists directly on the blockchain.

This provides a different set of properties and a different set of risks.

Haurva does not require users to deposit U.S. dollars with a company before receiving HAUSD.

16. Why Haurva Is Different From Overcollateralized Models

Some crypto-backed stablecoin systems require users to deposit substantially more collateral than the nominal value of tokens created.

For example, a system requiring 150% collateralization would generally require \$1.50 of collateral for every \$1 of stablecoin issued.

Haurva's current model intentionally does not follow that structure.

The initial design uses a direct value relationship between BNB and HAUSD rather than requiring a large excess collateral buffer at issuance.

This makes the user interaction comparatively simple:

BNB enters → oracle determines value → HAUSD is minted.

The trade-off is important.

Haurva sacrifices the additional capital buffer provided by heavy overcollateralization and therefore remains materially exposed to changes in the USD value of BNB.

This is not hidden by the design. It is one of the protocol's fundamental economic characteristics.

17. Haurva Is Not an Endogenous Algorithmic Stablecoin

The term "algorithmic stablecoin" is often used broadly, but Haurva should not be confused with systems whose stability depends primarily on endogenous token incentives, discretionary monetary expansion, or the market value of another token created by the same system.

Haurva's current architecture instead depends on three observable components:

1. **BNB as external collateral**
2. **Chainlink as the BNB/USD price reference**
3. **Smart-contract rules controlling issuance and redemption**

The protocol therefore does not attempt to maintain its USD reference through an arbitrary supply schedule alone.

The collateral already has an independent market.

The oracle observes that market.

The protocol uses the observation to determine conversion.

18. Collateral Coverage and an Important Limitation

The value of the reserve can change independently of the amount of HAUSD in circulation.

Consider a simplified example.

At issuance:

1 BNB = \$700

A user deposits approximately \$700 worth of BNB and receives approximately \$700 HAUSD after applicable fees.

The system can therefore begin with approximately one dollar of reserve value for each HAUSD.

If BNB subsequently falls by 50%:

1 BNB = \$350

The reserve's USD value also falls by approximately 50%.

Unless additional collateral enters the protocol, the USD value of the reserve may therefore become lower than the nominal value of outstanding HAUSD.

This is a fundamental risk of using a volatile crypto asset as collateral without substantial overcollateralization or hedging.

Haurva must therefore **not** describe itself as continuously and unconditionally 100% collateralized in USD terms.

The more precise statement is:

HAUSD is issued against BNB using the current oracle valuation of that collateral. Because BNB itself is volatile, the USD value of the reserve may rise or fall after issuance.

This distinction is central to honest risk disclosure.

19. Redemption Liquidity

Redemption is ultimately constrained by the BNB actually held by the protocol.

BNB Smart Chain can execute a valid blockchain transaction, but the blockchain cannot create additional BNB inside the Haurva contract to satisfy an otherwise unavailable redemption.

If the Haurva reserve does not contain enough BNB to satisfy a redemption request, the contract's appropriate behavior is to reject the transaction rather than pay out assets it does not possess.

This means that **blockchain availability and redemption liquidity are separate concepts**.

The existence of a functioning blockchain does not itself guarantee that a particular protocol possesses sufficient reserve assets to honor every redemption request.

This should be regarded as a core risk of the current architecture.

20. Fees

The current protocol design applies a **0.05% minting fee** to BNB deposited through the minting mechanism.

The fee has several possible economic functions:

- supporting protocol operations;
- creating a revenue stream;
- discouraging uneconomic micro-transactions;
- providing resources for future development and security.

The resulting fee is retained by the protocol according to the deployed contract's configuration.

Because protocol economics can evolve, the exact fee policy associated with each production deployment should be published alongside the corresponding verified contract.

The whitepaper should always be interpreted together with the actual deployed smart contract. Where implementation and documentation differ, the verified contract is the definitive source for on-chain behavior.

21. Governance and Administration

Haurva is not currently a fully decentralized autonomous organization.

The reference implementation uses OpenZeppelin's `Ownable` architecture and establishes an initial owner at deployment.

This creates an important distinction between:

Supply control

and

Administrative control.

The protocol does not provide an administrator with an arbitrary ability to mint unlimited HAUSD outside the defined minting mechanism.

However, the existence of an owner means that the protocol is not equivalent to a completely ownerless smart-contract system.

A responsible description of Haurva today is therefore:

Permissionless at the user-interaction layer, while retaining defined administrative control at the contract layer.

This distinction is intentionally disclosed rather than hidden.

22. Decentralization Path

Haurva's long-term objective is to reduce unnecessary points of centralized control.

The current BNB implementation establishes the initial monetary mechanism. Future versions may progressively move additional components toward governance processes or autonomous on-chain mechanisms where doing so improves security, transparency, and resilience.

The long-term objective is not decentralization as a marketing label.

The objective is to make the protocol's critical financial functions depend increasingly on:

code + transparent data + open networks

rather than:

company + bank + manual approval.

Any movement toward greater autonomy must, however, be evaluated against the security and operational risks it introduces.

Decentralization is not automatically synonymous with safety.

23. Trust Assumptions

Haurva attempts to minimize the amount of trust users must place in a traditional intermediary.

Users should not need to trust a bank to custody their reserve dollars because the protocol does not use a fiat reserve as its primary collateral.

Users should also be able to inspect the smart contract, token supply, and contract-held BNB on-chain.

However, Haurva does not eliminate trust assumptions entirely.

The protocol depends on:

- correct smart-contract execution;
- the continued operation of BNB Smart Chain;
- oracle availability and correctness;
- sufficient protocol reserve liquidity;
- functioning wallet and transaction infrastructure;
- the broader market value and liquidity of BNB.

The design therefore replaces certain institutional trust assumptions with technological and market assumptions.

That is the fundamental trade-off.

24. Security Model

The security of Haurva depends on multiple layers.

Smart Contract Security

The contract is responsible for enforcing minting, redemption, token accounting, ownership, and reserve transfers.

A vulnerability in the contract could potentially affect the integrity of the protocol regardless of the quality of its economic design.

Oracle Security

Minting and redemption depend on BNB/USD pricing.

Oracle validation reduces exposure to obviously stale or malformed data, but cannot make oracle infrastructure mathematically infallible.

Reserve Security

The BNB held by the protocol represents the core collateral base.

Loss, theft, or unauthorized movement of reserve assets could materially impair the protocol.

Economic Security

Even bug-free code can operate under adverse economic conditions.

A severe decline in BNB's market value can reduce the USD value of protocol reserves.

Network Security

Haurva ultimately depends on the availability and correct operation of the underlying blockchain.

25. Failure Scenarios

A credible monetary protocol must describe how it can fail rather than simply describing how it is expected to work.

25.1 Severe BNB Price Decline

If BNB experiences a substantial decline, the USD value of reserves may fall while HAUSD supply remains outstanding.

This can reduce reserve coverage and potentially impair full redemption.

25.2 Oracle Failure

If the oracle becomes unavailable, stale, or otherwise invalid, minting or redemption may become impossible until valid pricing information is available.

The contract's validation rules are intended to prevent clearly invalid data from being accepted.

25.3 Smart Contract Vulnerability

A programming error could cause incorrect minting, incorrect redemption, unauthorized transfers, or loss of funds.

25.4 BNB Liquidity Shock

Even if BNB continues to exist, severe deterioration in market liquidity can make it more difficult to maintain the intended economic relationship between HAUSD and the broader market.

25.5 Blockchain Disruption

An interruption or major failure affecting BNB Smart Chain could temporarily prevent users from accessing the protocol.

25.6 Regulatory or Institutional Pressure

Changes in laws, exchange policies, wallet policies, or access to blockchain infrastructure can affect adoption and liquidity.

25.7 Secondary-Market Deviation

HAUSD can trade above or below its protocol reference value on external markets.

The protocol's conversion mechanism does not eliminate market-driven price deviations.

26. Why Haurva Is Not Terra/UST

Haurva should not be described as "safe because it is different from Terra."

The more useful distinction is architectural.

Haurva's collateral is BNB, an independently traded crypto asset. The protocol does not rely solely on the continuing market value of an internally issued companion token to maintain its reserve structure.

However, this does **not** mean Haurva is immune to collapse.

A major BNB price decline can materially damage reserve coverage, particularly because the initial system does not require the substantial collateral buffer characteristic of heavily overcollateralized stablecoin systems.

The correct claim is therefore:

Haurva uses external crypto collateral and oracle-based issuance rather than an endogenous reserve asset, but remains exposed to collateral volatility and liquidity risk.

This is more conservative—and more useful—than claiming that the architecture makes failure impossible.

27. Transparency

Haurva's reserve model allows important aspects of the protocol to be independently inspected.

Observers can verify, subject to standard blockchain limitations:

- the amount of BNB held by the protocol;
- the total HAUSD supply;
- minting activity;
- redemption activity;
- fee flows;
- smart-contract transactions.

This creates a fundamental transparency advantage over systems whose reserves exist entirely within private financial institutions and cannot be observed directly on-chain.

Transparency does not eliminate economic risk.

It does, however, allow users and analysts to inspect the system rather than relying exclusively on statements made by an issuer.

28. Use Cases

HAUSD is intended to serve as a USD-denominated digital asset within blockchain ecosystems.

Potential use cases include:

Medium of Exchange

Users can transact in a stable USD-denominated unit without requiring direct use of bank-based dollar settlement.

Unit of Account

Applications can denominate balances, prices, services, and financial contracts in HAUSD.

DeFi Settlement

HAUSD may serve as a settlement or liquidity asset within decentralized applications that support it.

Treasury and Savings Representation

Participants may use HAUSD as a blockchain-native representation of dollar-denominated value, while understanding that the asset retains the protocol's underlying collateral and market risks.

Cross-Border Digital Settlement

Blockchain-based transfers can occur without requiring each transaction to pass through traditional correspondent banking infrastructure.

Haurva does not claim that these use cases eliminate legal, regulatory, tax, or financial obligations applicable to users in their jurisdictions.

29. Multichain Vision

The BNB implementation is the first implementation of the Haurva Protocol, not necessarily its final form.

The long-term objective is to develop Haurva into a **multichain crypto-native stablecoin protocol**.

Future deployments could potentially support additional blockchain networks and collateral assets.

Such expansion cannot simply consist of copying the same smart contract to another chain.

Each deployment requires consideration of:

- reliable oracle infrastructure;
- native collateral characteristics;
- chain liquidity;
- transaction economics;
- security;
- market depth;
- bridge or cross-chain risks;
- wallet and application integration;
- network-specific failure conditions.

For this reason, future multichain deployment will be treated as a distinct engineering and economic stage rather than assumed to be automatically safe.

30. Long-Term Vision

The long-term Haurva vision is a monetary infrastructure in which a user can interact with a USD-denominated asset without needing a traditional bank account to exist behind every token.

In its earliest form, this means:

BNB → HAUSD

In a mature multichain implementation, the architecture could potentially become a broader network of crypto-native collateral, oracle infrastructure, liquidity, and applications operating across multiple blockchain ecosystems.

The ultimate ambition is to build a protocol whose value is derived from transparent economic rules and community adoption rather than dependence on a single corporate issuer.

Haurva therefore views its present BNB implementation as a foundation.

The first objective is to make the mechanism understandable, transparent, secure, and useful.

The later objective is to make that mechanism increasingly resilient and broadly accessible.

31. Roadmap

Phase I — Core BNB Implementation

- Launch the BNB-based HAUSD protocol.
- Establish verified smart-contract infrastructure.
- Publish contract addresses and reserve information.
- Build basic documentation and user interfaces.
- Establish initial secondary-market liquidity.

Phase II — Security and Ecosystem Development

- Improve documentation and monitoring.
- Expand analytics around supply and reserve positions.
- Pursue independent security review where appropriate.
- Develop integrations with wallets, decentralized applications, and DeFi infrastructure.
- Improve liquidity and market accessibility.

Phase III — Multichain Expansion

- Evaluate additional EVM-compatible networks.
- Select appropriate oracle infrastructure for each environment.
- Evaluate additional collateral assets.
- Develop secure cross-chain architecture where justified.

Phase IV — Progressive Decentralization

- Evaluate governance mechanisms.
- Reduce unnecessary administrative dependencies.
- Increase community participation in protocol development.
- Move suitable functions toward transparent, autonomous mechanisms where security permits.

The roadmap represents an intended direction rather than a guarantee of future implementation.

32. Limitations

Haurva is intentionally transparent about what the protocol does not provide.

HAUSD is not:

- U.S. legal tender;
- a bank deposit;
- a direct claim on a dollar held in a bank;
- guaranteed to trade at exactly \$1 on secondary markets;
- immune to BNB price volatility;
- guaranteed to remain fully covered in USD terms during a severe collateral decline;
- guaranteed to be redeemable under every possible market or blockchain condition;
- a replacement for Bitcoin as a scarce digital asset;
- an investment whose purpose is capital appreciation.

Haurva exists to provide a different monetary primitive.

Its purpose is not to make users wealthy simply by holding HAUSD.

Its purpose is to create a practical USD-denominated instrument whose reserve relationship exists on-chain.

33. Economic Interpretation

The Haurva model can be understood as a transformation between two representations of value.

The first representation is:

BNB

A volatile crypto-native asset whose market price is externally determined.

The second representation is:

HAUSD

A USD-denominated token whose conversion relationship is determined by the current oracle price of BNB.

The protocol therefore acts as a programmable conversion layer.

When BNB is worth more, less BNB is required to represent one dollar.

When BNB is worth less, more BNB is required.

The denomination remains USD.

The collateral quantity changes.

This mechanism gives HAUSD a stable *reference unit* without giving it a stable *underlying reserve asset*.

That distinction defines Haurva.

34. The Haurva Proposition

The Haurva proposition can be expressed in one sentence:

Haurva Protocol seeks to provide a USD-denominated digital asset without requiring an equivalent reserve of U.S. dollars.

The mechanism behind the proposition is intentionally straightforward:

BNB provides collateral.

Chainlink provides the BNB/USD reference price.

The smart contract calculates issuance and redemption.

HAUSD provides the USD-denominated representation.

The protocol therefore replaces a traditional reserve model with a programmable on-chain model.

It does not claim that this eliminates risk.

It changes where the risk comes from.

Traditional fiat-backed stablecoins expose users to institutional, custodial, banking, and reserve-management risks.

Haurva instead exposes users to smart-contract, oracle, blockchain, liquidity, and collateral-market risks.

The purpose of Haurva is not to pretend that risk can disappear.

The purpose is to create a different architecture in which the core monetary mechanism is transparent and executable on an open blockchain.

35. Conclusion

Haurva Protocol begins with a straightforward observation:

A dollar-denominated financial instrument does not necessarily need a dollar sitting in a bank to exist.

Blockchain networks already contain assets with independently discovered market values.

Smart contracts can calculate relationships between those assets.

Oracles can make external market information available on-chain.

Tokens can represent the resulting unit of account.

Haurva combines these components into a single protocol.

The first implementation uses BNB as collateral and Chainlink's BNB/USD oracle as its pricing reference. HAUSD is minted when users deposit BNB, with a 0.05% minting fee applied to the deposit, and HAUSD can be redeemed for its corresponding BNB value using the current oracle price, subject to available reserves and the rules of the deployed contract.

The result is not a digital version of a bank account.

It is not a claim that the U.S. dollar itself has been placed on-chain.

It is something different:

a crypto-native attempt to represent dollar-denominated value through an on-chain collateral system.

Haurva's long-term ambition is to extend that idea beyond a single blockchain and develop a multichain monetary protocol that minimizes reliance on traditional financial intermediaries while maximizing transparency, programmability, and user control.

The protocol's philosophy can ultimately be expressed in a simple principle:

Value can be denominated in dollars without requiring the reserve itself to be dollars.

Haurva exists to explore what becomes possible when that principle is implemented through open blockchain infrastructure.

Risk Disclosure

HAUSD involves significant technological and market risks. The protocol depends on the security of its smart contracts, the availability and integrity of oracle infrastructure, the operation of BNB Smart Chain, the liquidity and market value of BNB, and continued participation by users and markets.

A decline in the market value of BNB can reduce the USD value of protocol reserves and may impair the protocol's ability to satisfy all redemptions. Secondary-market trading can occur above or below the protocol's reference value. Smart-contract vulnerabilities, oracle failures, blockchain disruptions, liquidity shortages, regulatory developments, and other unforeseen events may result in partial or total loss.

Nothing in this whitepaper should be interpreted as a guarantee that HAUSD will maintain a particular market price or that every HAUSD token will always be redeemable for one U.S. dollar of value.

Users should independently evaluate the technology, economics, risks, and legal implications before interacting with the protocol.

Documentation Principle

Haurva Protocol is intended to be an open, inspectable system.

The smart contract, token supply, reserve holdings, transaction history, oracle configuration, and protocol parameters should be made publicly verifiable wherever technically possible.

The whitepaper describes the intended architecture and economic philosophy. The deployed smart contract remains the authoritative source of actual on-chain behavior.